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Project Management 5.5

Change Management

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Learning Outcomes

- By the end of this lecture, you will be able to:
  - Recognise that change is inevitable
  - Know that all people are different
  - Understand there are lots of different change models

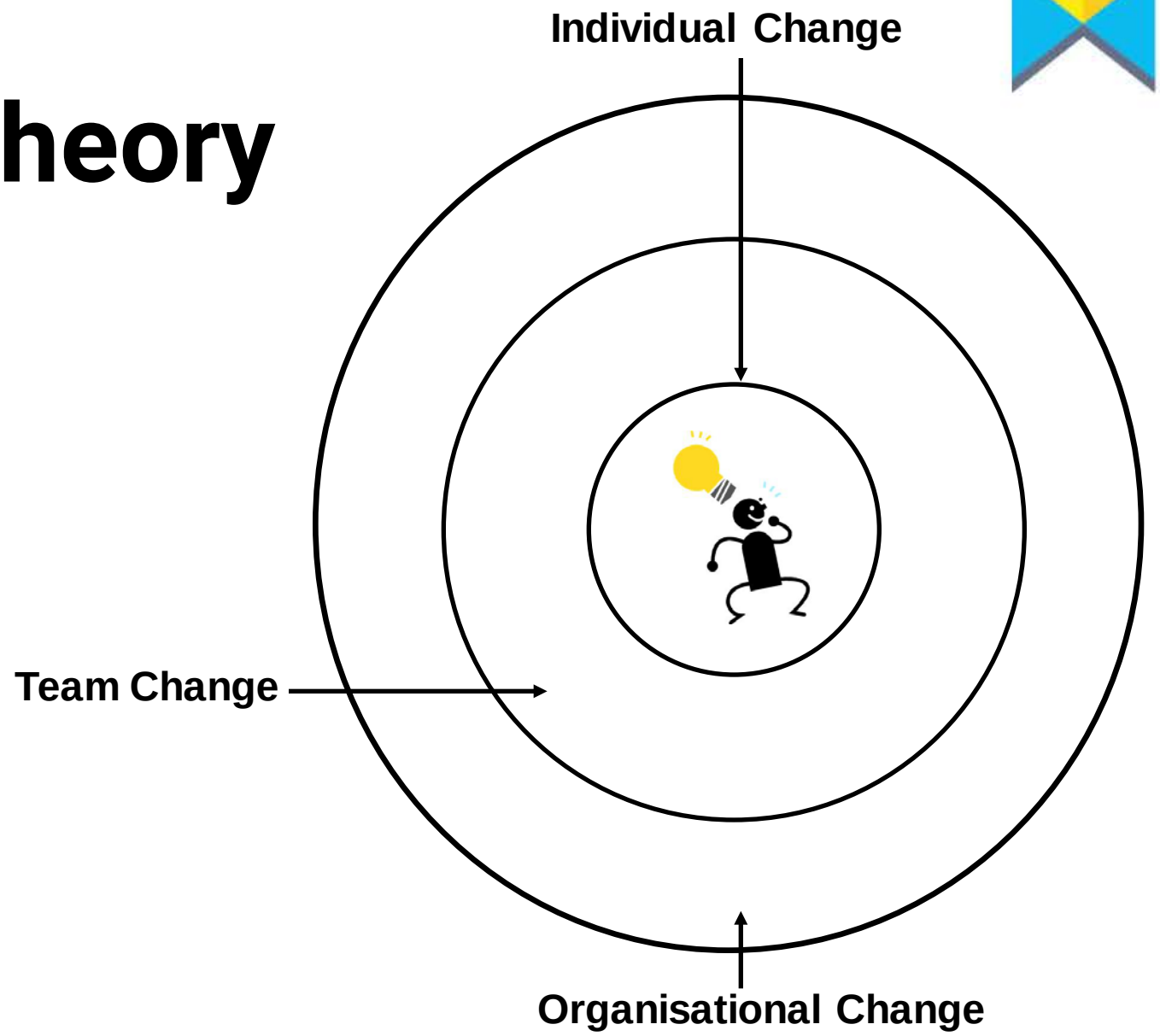
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Why Change?

- Capability/Capacity
- Competitive pressures
- Customer pressure
- Economic downturns
- Focus
- Government legislation/initiatives
- Growth challenges
- Improved response times
- Mergers and acquisitions
- Overcome problems or deficiencies
- Reduce cost
- Strategic vision
- Technological changes
- Tougher trading conditions
- Trend

Under Pinning Theory

- Individual Change
- Team Change
- Organisational Change
- Leading Change



Team Building Theory - John Adair

- **Task**
- Achieving the teams goal
- **Team**
- Developing and building
- an effective team
- **Individual**



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Change Roles

- Senior Management
  - Champions change
  - Demonstrates commitment
- Change agents
  - People
  - Groups
    - Responsible for or involved in bringing about organisational change

Key Driver Roles for Organisational Change

- Change Leader
- Program Sponsor
- Steering Committee

Key Implementer Roles

- Project Manager

- Project Team Members

Key Enabler Roles

- Middle Managers

- Supervisors

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Leadership and Management Traits

Leaders	**Managers**
Visionary	Operational
Change agents	Promote stability
Set direction	Plans
Concerned with future direction	Concerned with implementing and effectiveness
Strategic	Tactical
Motivates and Inspires	Controls, monitors and solves
Defines organisational culture	Instils organisational culture
Are apparent	Are appointed

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Change Management Principles: Newton's Three Laws

- First law of motion:
  - An object will remain at rest or uniform motion until an unbalanced force acts upon it
- Second law of motion:
  - A body of mass subject to a force undergoes an acceleration
- Third law of motion:
  - The mutual forces of action and reaction between two bodies are equal, opposite and collinear.

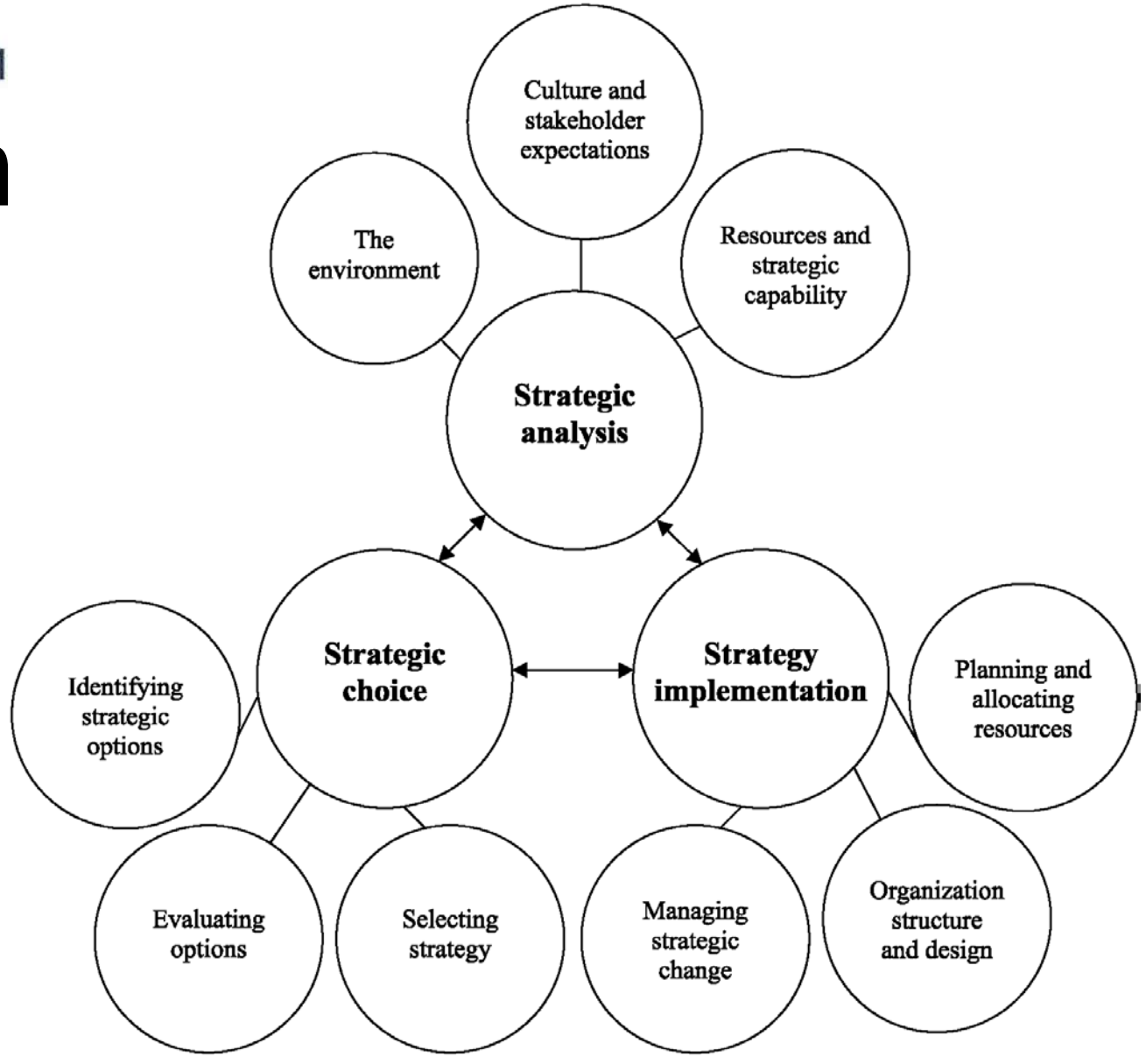
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Kotter and Schlesinger - Six Change Approaches

1. Education and Communication
2. Participation and Involvement
3. Facilitation and Support
4. Negotiation and Agreement
5. Manipulation and Co-option
6. Explicit and Implicit Coercion

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Johnson



Source: Johnson and Scholes (1993, p. 23)

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Strategy Definition

- *“the direction and scope of an organization over the long-term: which achieves advantage for the organisation through its configuration of resources within a changing environment to meet the needs of markets and to fulfil stakeholder expectations.”*

- ***Johnson and Scholes (2003)***

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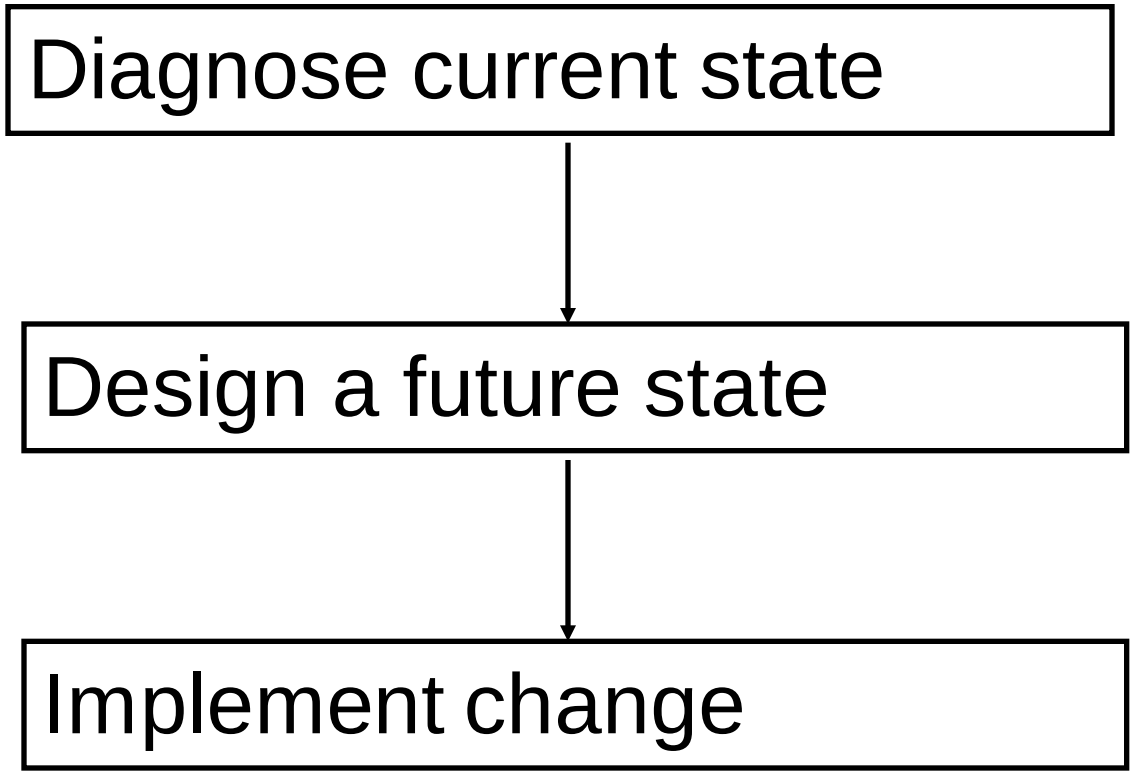
Strategy Definitions (continued)

- “Alternative chosen to make happen a desired future, such as achievement of a goal or solution to a problem.”

- “Art and science of planning and marshalling resources for their most efficient and effective use.”
- ***Easy Strategy 2010***

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Techniques for Effective Change Management



Kotter’s 8 Stage Change Process

- Defrost a hardened status quo:
- Introduce new practices:
- Institutionalise new approaches in the corporate culture

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The McKinsey 7S Model

Hard Elements	Soft Elements
Strategy	Shared Values
Structure	Skills
Systems	Style
	Staff

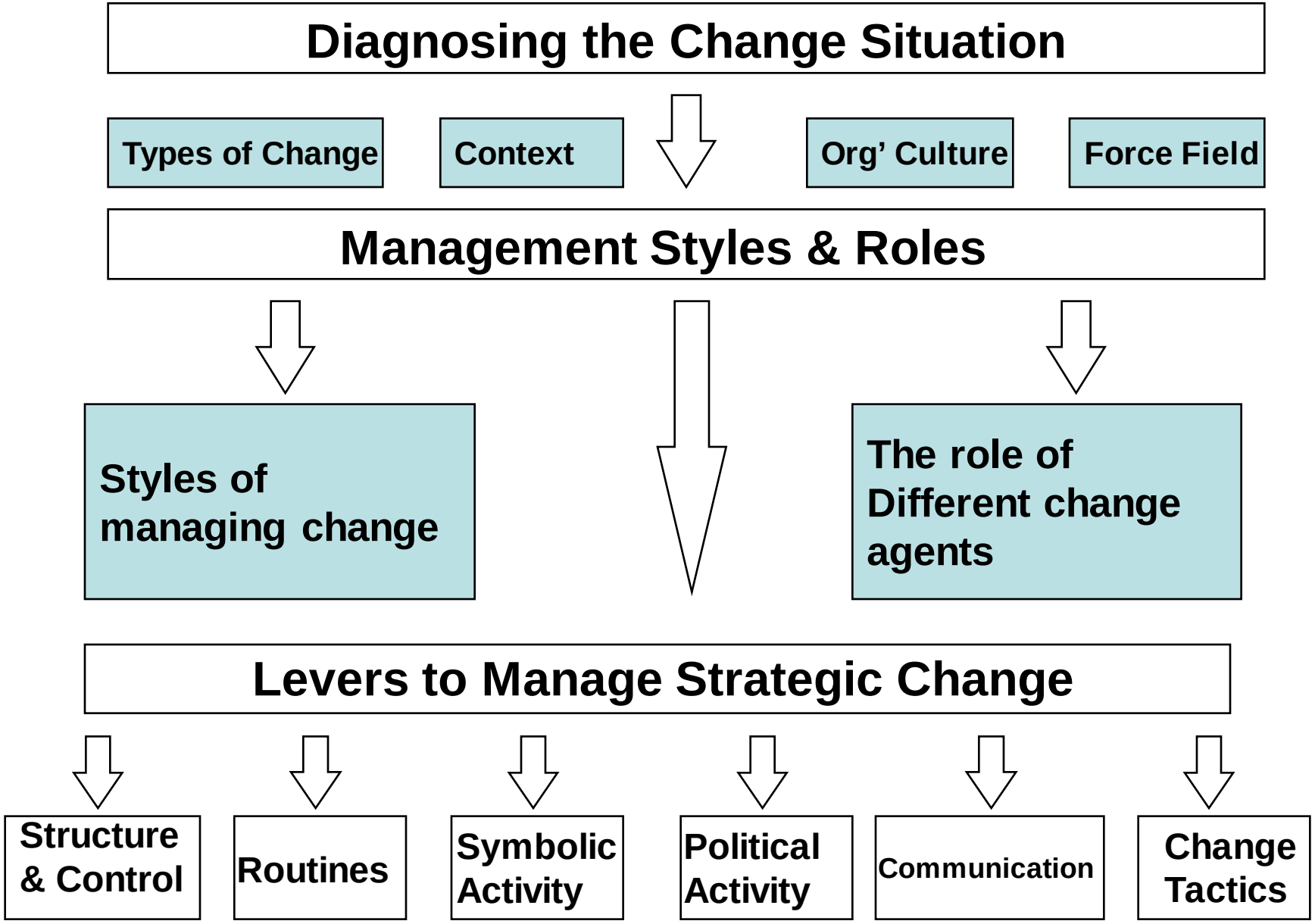
Kurt Lewin’s Model (simplistic)

- Unfreeze
- Change
- Freeze

Resistance to Change

- People do not instinctively like change
- People prefer to maintain the status quo
- Psychology of change
  - Fear of loss
    - Competency
    - Status
    - Quality of life
- Sceptical
- Hidden agendas
- Security
- Respect
- Threat

Framework for Managing Strategic Change



Exploring Corporate Strategy Johnson & Scholes

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Tips

- Engage with the people early and get them involved – give ownership
- People bring about change
- Training and education
- Reduce anxiety in change by creating psychological safety
- People are: different, different, different
- Logical and rational
- There is no easy way to manage strategic change and no magic bullet

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Look Forward

- Week six
  - Project Planning Tools
  - Project Governance
  - Project Lifecycles
  - Needs Analysis